

PRINCIPLES OF MARKETING

MGMT 2121

Course objective

At the end of this course students will be able to explain and apply concepts, philosophies, and strategies of marketing

After Completing this course you will be able to:

- ✓ Explain **marketing and its core concepts**
- ✓ Point out **the environment in which marketing operates**
- ✓ **Apply marketing research ideas** to support the development of an effective marketing strategy.
- ✓ Summarize **the factors affecting consumer behavior and satisfaction**
- ✓ Point out the **differences between consumer and industrial buying processes**
- ✓ Point out the **basis for market segmentation, targeting and positioning**
- ✓ Explain **the importance of marketing mix decisions in real life situation.**

CHAPTER ONE: An Overview of Marketing & Marketing Management

Unit description

This chapter deals about:

- The meaning & Scope of Marketing
- Marketing Management Philosophies
- Core Marketing Concepts
- New Trends in Marketing
- Demand management and
- Marketing Management Tasks.

Definition of Marketing

Marketing can be defined in various ways. In order to understand the term marketing, we can use the following definitions.

- Marketing is a social and managerial process by which individuals and groups obtain what they want and need through creating, offering and exchanging products of value with others.
- Marketing is the process of development and efficient distribution of goods and services to a target market with the objective of making profit.
- Marketing is a process of anticipation, management and satisfaction of demand through exchange.

According to Lamb (2004), marketing is the process of **planning and executing** the **conception, pricing, promotion and distribution of ideas, goods and services** to create exchanges that satisfy individual and organizational goals.

Marketing management is defined as a **conscious effort** to achieve desired exchange outcomes with target markets.

Marketing Management Philosophies/Concepts

There are six competing concepts under which organizations can choose to conduct their marketing activities. These are;

1. **Production concept**
2. **Product concept**
3. **Selling concept**
4. **Marketing concept**
5. **Societal marketing concept and**
6. **Relationship marketing concept**

1. The Production Concept/Philosophy

This philosophy is probably the oldest concept in guiding marketing (in the early 1905).

The concept holds that consumers will favor those products that are **widely available and low in cost**.

Therefore, management should focus on improving production and distribution efficiency.

The production concept is still a useful philosophy in two types of situations.

- ✓ It is ideal when demand for a product exceeds the supply.
- ✓ It is also ideal in situations when a production cost is too high and improved productivity is needed to bring it down

The-production concept can lead to marketing myopia:

Companies adopting this orientation run a major risk of focusing **too narrowly on their own operations and losing sight of the real objective-satisfying customer needs and building customer relationships.**

2. The Product Concept

- The product concept holds the assumption that consumers will favor those products that offer the most quality, performance and/or innovative features.
- Managers in these organizations focus on making superior products and improving them over time, assuming that buyers can appraise quality and performance.
- Under this concept, marketing strategy focuses on making continuous product improvements.

- ✓ However, focusing only on the company's products can also lead to **marketing myopia**:

Managers in these organizations are sometimes caught up **in a love affair with their products**.

3. The Selling Concept

- ✓ The selling concept holds that consumers, **if left alone**, will ordinarily not buy enough of the organization's products unless **greater effort** is under taken towards **selling and advertising**.
- ✓ The concept is typically practiced **with unsought goods**-those that buyers do not normally think of buying, such as **insurance or blood donations**.
- ✓ Most firms practice the selling concept when they **face over capacity**.
- ✓ Their **aim** is to sell what they make rather than make what the market wants.

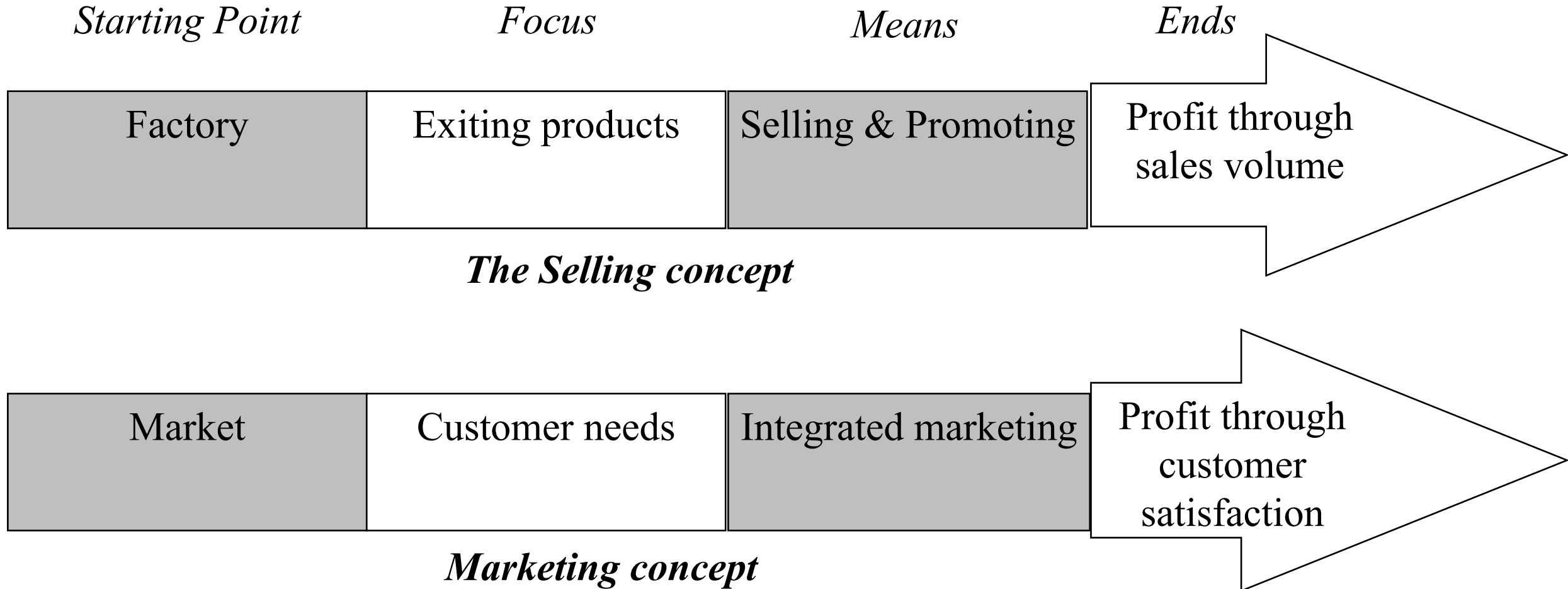
4. The Marketing Concept

- This concept holds that the key to achieve organizational goals consists of being more effective than competitors in integrating marketing activities towards determining and satisfying the needs and wants of target market.

The marketing concept rests on four pillars; **Target market, consumer need, integrated marketing and profitability.**

- Under the marketing concept, customer focus and value are the paths to sales and profits. Instead of a product-centered "make and sell" philosophy, the marketing concept is a customer-centered "sense and respond" philosophy.
- It views marketing not as "hunting," but as "gardening."

- The job is not to find the right customers for your product, but to find the right products for your customers. contrasts the selling concept and the marketing concept.



5. The Societal - Marketing Concept

- The societal marketing concept holds that the organizations task is to **determine the needs, wants and interests of target markets** and to **deliver the desired satisfactions more effectively and efficiently than competitors** in a way that **preserves or enhances the consumer's and the society's well-being.**

6. Relationship Marketing

- Relationship marketing is the practice of **building long term satisfying relations with key parties - customers, suppliers, distributors-** in order to retain their long term preferences and business.
- The ultimate outcome of relationship marketing is the **building of a unique company asset called marketing network.**
- In this case, customer experience rather than customer satisfaction is the most critical component in relationship marketing.

CORE CONCEPTS, NEW TRENDS & TASKS OF MARKETING

The core concepts of marketing-

To understand the marketing function, we need to understand certain fundamental concepts and tasks; The core concepts of marketing are

Customer Needs, Wants and Demands

Needs: Human needs are states of felt deprivation.

When we are **deprived or deficient** for something, we strive or act to fulfill the deficiency.

They include:

- Basic physical needs for food, clothing, and safety;
- Social needs for belonging and affection; and
- Individual needs for knowledge and self-expression.

These needs were not created by marketers; they are a basic part of the human makeup.

Wants: Wants are desires for specific satisfiers of needs. Needs becomes wants when they are directed to specific objects that might satisfy the need.

- Wants are shaped by one's society.
- Wants are many and are subjected to cultural shifts and technological dynamism, whereas needs are few and are innate or inborn.

- Marketers strive **not** to create **needs** but identify them and develop products (**wants**) that would satisfy the needs. They do not, however, create the need for social status.

Needs	Possible need satisfying wants
Food	Hamburger (American), Injera (Ethiopian), Rice (Indian), potatoes (Russians) etc.
Transportation	Horseback, personal automobile, bus, airplane, trains, ship, etc.

Demands: Demands are wants for specific products that are backed by an ability and willingness to buy them.

You can clearly understand that demand is different from want by two major points, i.e. the purchasing power or financial capacity to purchase the product and the willingness to buy it.

Demand = wants exhibited + ability to buy + willingness to buy

- Marketers should measure not only how many people want their products, but also how many would actually be willing and able to buy it.

Market Offerings or Products

- Consumers' needs and wants are fulfilled through a **market offering**-some combination of products, services, information, or experiences offered to a market to satisfy a need or want.
- Hence, a product is anything that can be offered to the market for attention, acquisition, use or consumption that might satisfy a need.

Market offerings are **not limited** to physical products. More broadly, market offerings also include other entities, such as **persons, places, organizations, information, and ideas.**

Customer Value, Cost and Satisfaction

Customer value: is the consumer's estimate of the product's overall capacity to satisfy his or her needs.

- ✓ Value can be seen as primarily a combination of quality, service and price (QSP), called the customer value triad.
- ✓ Value increases with quality and service, but decreases with price.

Satisfaction: is the result of the comparison of perceived (actual) performances and expectations.

A product or offering is said to have satisfied the needs of the target market if and only if it meets the minimum consumer expectations.

Table 1.1 Satisfaction: Result of Comparison of Perceived (Actual) Performance and Expectation

If	Actual performance of a product	Is less than	Buyer's Expectations	It results in dissatisfaction
	Actual performance of a product	Is equal/almost similar to	Buyer's Expectations	It results in satisfaction
	Actual performance of a product	Is greater than	Buyer's Expectations	It results in delight (a very pleasant state more than satisfaction)

Exchange and Transaction

There are four ways for people to obtain a product. i.e. exchange, self-production, coercion and begging.

Exchange is one of the four ways in which a person can obtain a product.

Note that exchange is a process rather than an event

Exchange is the process of obtaining a desired product from someone by offering something in return.

For exchange potential to exist, **five conditions** must be satisfied:

1. There are **at least two parties**.
2. Each party has **something** that might be of value to the other party.
3. Each party is **capable of communication and delivery**.
4. Each party is **free to accept or reject the exchange offer**.
5. Each party **believes it is appropriate or desirable to deal with the other party**.

Exchange is a value-creating process because it normally leaves both parties better off.

Transaction is a **trade of values between two or more parties**: A gives X to B and receives Y in return. A transaction involves:

- ➡ At least two things of value,
- ➡ Agreed-upon conditions,
- ➡ A time of agreement, and
- ➡ A place of agreement

Transaction can be of a **classic monetary mode or barter one**. A barter transaction involves trading goods or services for other goods or services.

To make successful exchanges, marketers analyze what each party expects from the transaction.

Relationships and Networks

- Transaction marketing is part of a larger idea called relationship marketing.
- Relationship marketing **aims to build long-term mutually satisfying relations with key parties**— customers, suppliers, distributors—in order to earn and retain their long-term preference and business.

The ultimate outcome of relationship marketing is the building of a unique company asset called a marketing network.

A marketing network consists of **the company and its supporting stakeholders** (customers, employees, suppliers, distributors, advertising agencies, and others)

Markets, Marketers and Prospects

A **market** consists of **all the actual and potential customers** sharing a particular **need or want** who might be willing and able to engage in exchange to satisfy that need or want.

A **marketer** is someone seeking a response (attention, a purchase, a vote, a donation) from **one or more prospects** that might engage in exchange of values.

➤ When one party is **more actively seeking an exchange** than the other party, we call the first party a marketer and the second party a prospect.

- A **prospect** is someone whom the marketer identifies as potentially willing and able to engage in an exchange.
- The prospect is relatively less active when compared to the marketer.

Demand Management

The organization has a desired level of demand for its products. At any point in time, there may be **no demand, adequate demand, irregular demand or too much demand**, and marketing management must find ways to deal with these different demand states.

Marketing managers seek to influence **the level, timing, and composition of demand to meet the organization's objectives**.

Eight demand states are possible:

1. Negative demand: Consumers dislike the product and may even pay a price to avoid it.

Included in this category are vaccinations, dental work, etc. Employers have a negative demand for alcoholics as employees.

Consider the following example. Most people prefer to pay higher price (e.g., more than Br. 10, 000) for tablets to avoid kidney surgery. Assume that a well-equipped hospital charges Br. 5000 for the surgery.

Marketing Task

Conversational Marketing: the marketing task is to analyze why the market dislikes the product and whether a marketing program consisting of product redesign, lower prices, and more positive promotion can change beliefs and attitudes.

2. Nonexistent demand /no demand/: This is a demand situation when the target consumers may be **unaware or uninterested in the product**.

Farmers may **not be** interested in new farming methods, and college students may not be interested in foreign language courses

Marketing Task

Stimulation marketing: The marketing task is to find ways to connect the benefits of the product with people's natural needs and interests.

3. Latent demand: Consumers may share a strong need that cannot be satisfied by an existing product.

There is a strong demand for harmless cigarettes, safer neighborhoods, better schools, and more fuel-efficient cars.

Marketing Task

- **Developmental marketing:** The appropriate marketing task is to measure the size of the market and develop goods and services to satisfy the demand.

4. Declining demand - Consumers begin to buy the product less frequently or not at all.

Every organization, eventually, faces declining demand for one or more of its products.

Private colleges have seen applications fall; airlines have seen declining demand in passengers or cargo etc.

Marketing Task

- **Remarketing (Re-stimulating):** The marketer must analyze the **causes of the decline** and determine whether demand can be **re-stimulated by new target markets, and by changing product features, or by more effective communication styles.**

5. Irregular demand - Consumer purchases **vary on a seasonal, monthly, weekly, daily, or even hourly basis.** Consider the demand of woolen and fur made clothes during a hot season, the demand of mass transit equipment's in an airline during peak travel hours etc.

Marketing Task

- **Synchronic marketing:** is to find ways to alter the pattern of demand through flexible pricing, promotion, and other incentives.

6. Full demand: Consumers are adequately buying all products put into the marketplace.

- Organizations face full demand when they are pleased with their volume of business.
- It is a demand situation where the actual demand is equal or at least proportional to what the firm can assume with its existing resources.

Marketing Task

- **Maintain marketing:** The marketing task is to maintain the **current level of demand** in the face of changing consumer preferences and increasing competition.

7. Overfull demand: More consumers would like to buy the product than can be satisfied.

Some organizations face a **demand level that is higher than they can or want to handle.**

Overfull demand is **not a favorable demand pattern for most firms** as it results in more work pressure and even dissatisfaction for some of the buyers.

Marketing Task

De-marketing: The marketing task requires finding ways to **reduce demand temporarily or permanently.**

General de-marketing seeks to discourage overall demand and includes **such steps as raising prices and reducing promotion and service.** **Selective de-marketing** consists of trying to **reduce demand from those parts of the market that are less profitable.**

8. Unwholesome demand: Consumers may be attracted to products that have **undesirable social consequences.**

Marketing Task: The marketing task is to get people who like something to give it up, **obey the rules of some established agencies, using fear messages** (e.g., Cigarettes are dangerous for health, Cigarettes are dangerous for pregnant women etc) and **reduce availability.**

New Trends in Marketing

Recently markets face challenges to meet their marketing objectives due to important changes in the marketing macro environment, such as globalization, deregulation, technological advances, customer empowerment, and market fragmentation.

In response to this rapidly changing environment, companies have restructured their business and marketing practices in some of the following ways

- 1. Reengineering;** Redesignating/restructuring the organizational activities on the basis of customer preferences/satisfaction.

2. **Outsourcing;** Give part/ all organizational activities to the **outside organization** because of **inability** and/ **cost of performing**.
3. **Benchmarking;** **Sharing best experience from others** through visiting or other mechanisms; **to reduce advertisement, selection and specification costs and to give on time delivery, superior customer value**
4. **Supplier partnering:** creating **long term relationship** with suppliers.
5. **Globalizing:** **Doing business across borders** but we have to think globally act locally.

6. **Flattering:** Simplifying organizational structures.

The reason is to be close to customers/ to solve customer problem

7. **Focusing:** Giving more attention to profitable business to make profit.

8. **Accelerating:** Adapt with the changes within the external environment.

9. **Empowering employees:** Encouraging employees to do the extra activities/motivating employees to bring new idea.

10. **Customer partnering:** creating long term mutually beneficial relation ship with customers/ target market.

11. **Merging:** It exists when two independent firms come together and create one organization.

The Tasks of Marketing Management

Marketing management plays the following core tasks

- Developing marketing plans and strategies
- Capturing marketing insights
- Connecting with the customer
- Building strong brands
- Shaping the market offering
- Delivering value
- Communicating value

UNIT 2

THE MARKETING ENVIRONMENT

What is marketing environment for you? What are its components?

The company's **marketing environment** consists of the actors and forces external to the marketing function of the firm that impinge on the marketing management's ability to develop and maintain successful transactions with its target customers.

The marketing environment offers both **opportunities and threats**

The marketing environment consists of **two** broad factors;

A. **Micro environment-** consists of forces closer to the company that affect its ability to serve its customers.

Marketing success will require building relationships with **other company departments, suppliers, marketing intermediaries, customers, competitors, and various publics**, which combine to make up the company's value delivery network.

1. The company

- In designing marketing plans, marketing management takes other company groups into account groups such as top management, finance, research and development (R&D), purchasing, operations, and accounting.
- Marketing managers must work closely with other company departments.
- Other departments have an impact on the marketing department's plans and actions.

2. Suppliers

- Suppliers are organizations and individuals that provide the resources needed to produce goods and services.
- They are **critical** to an organization's marketing success and an important link in its value delivery system.
- If there is a **breakdown in the link between the organization and its suppliers**, the result will be **delays and shortages** that can negatively impact the organization's marketing plans.
- On the other hand, **positive and cooperative relationships** between the organization and its suppliers can lead to **enhanced service and customer satisfaction**.

3. Marketing intermediaries

Marketing intermediaries help the company to promote, sell, and distribute its products to final buyers.

They include:

- Resellers(wholesalers and retailers)
- Physical distribution firms(warehouse and transportation firms)
- Marketing services agencies(the marketing research firms, advertising agencies, media firms, and marketing consulting firms) and
- Financial intermediaries(banks, credit companies, insurance companies, and other businesses)

4. **Customer /market**

A **market** is people or organizations with wants to satisfy, money to spend, and the willingness to spend it.

The company needs to study four types of markets closely:

- ❖ Consumer markets

- ❖ Business markets

- ❖ Government markets

- ❖ International markets

Each target market has distinct needs, which need to be monitored.

5. Competitors

- The marketing concept states that to be successful, a company must provide greater customer value and satisfaction than its competitors do
- Marketers must gain **strategic advantage** by positioning their offerings strongly against competitors' offerings in the minds of consumers.
- **No single competitive marketing strategy is best for all companies.**

6. Publics

A public any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives

B. Macro environment – consists of the large societal forces that affect the micro environment

These forces are **largely uncontrollable by management**; but **they are not totally uncontrollable**.

A company may be able to influence its external environment to some extent. These forces are:

1. **Demographic**

- ✓ Demography is the study of human populations in terms of **size, density, location, age, gender, race, occupation, growth and other statistics**.
- ✓ Demographics are of special interest to marketing executives because people constitute markets

2. Economical

- ✓ People alone do not make a market. They must have money to spend and be willing to spend it.
- ✓ Consequently, the economic environment is a significant force that affects the marketing activities of just about any organization.
- ✓ A marketing program is affected especially by such economic factors as the current and anticipated stage of the business cycle, inflation, unemployment, interest rates, and income.

3. Natural

The natural environment involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities

Marketers should be aware of several trends in the natural environment

- The first involves growing shortages of raw materials.
- A second environmental trend is increased pollution
- A third trend is increased government intervention in natural resource management.

4. Technological

- Technology has tremendous impact on our life-styles, our consumption patterns, and our economic well-being.
- The technological environment refers to new technologies, which create new product and market opportunities.
- However, every new technology replaces an older technology.
- The technological environment is perhaps the most dramatic force now shaping our destiny.

5. Political

- Marketing decisions are strongly affected by developments in the political and legal environment.
- Organizations must operate within a frame work of governmental regulation and legislation.
- Government relationships with organizations encompass subsidies, tariffs, import quotas, and deregulation of industries.
- The political environment consists of laws, government agencies, and pressure groups that influence or limit various organization and individuals in a given society.

Business legislation has been enacted for a number of reasons.

- ❑ To protect companies from each other
- ❑ To protect consumers from unfair business practices
- ❑ To protect the interests of society against unrestrained business behavior

6. Cultural forces

- The socio-cultural environment is made up of institutions and other forces that affect a society's basic values, perceptions, preferences, and behaviors.
- The task facing marketing executives is becoming more **complex** because our socio-cultural patterns – life-styles, values, beliefs – are changing much more quickly than they use to on top of this, **socio-cultural forces are the most difficult uncontrollable variables to predict.**

Marketing Information System

Is a software program that provides information about marketing research.

- A marketing information system consists of people, equipment, and procedures to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision makers.
- A marketing information system is developed from internal company records, marketing intelligence activities, and marketing research.

UNIT 3

ANALYZING CONSUMER MARKETS AND BUYING BEHAVIOR

What is consumer behavior? What is the difference between consumer and industrial buyer?

Consumer Buying Behavior

- According to Philip Kotler, **consumer-buying behavior** refers to the **buying behavior of final consumers**.
- It describes the buying behavior of individuals and households **who buy goods and services for personal or household consumption**.

The field of customer behavior studies how

- ✓ Individuals,
- ✓ Groups, and
- ✓ Organizations select, buy, use, and dispose of goods, services, ideas, or experiences to satisfy their needs and desires.

Model of Consumer Behavior The commonly used model to understand the buying behavior of consumers is the stimulus – response model.

Stimuli: there are quite a lot of factors, which stimulate customers to think of buying products and to make ultimate decision of buying. These factors can be seen as marketing and other stimulus

Marketing factors:

- Product,

- Price,

- Place, and

- Promotion

- ❖Others: Economic factors, Socio-cultural factors, Technological factors, Political factor

- All these inputs enter the **buyer's black box /consciousness/**, where they are turned into a set of observable buyer responses: **product choice, brand choice, dealer choice, purchase timing, and purchase amount.**
- The marketer wants to understand how the stimuli are changed into responses inside the consumer's black box, which has two parts.
- ✓ **First**, the **buyer's characteristics** influence how he or she perceives and reacts to the stimuli.
- ✓ **Second**, **the buyer's decision process** itself affects the buyer's behavior.

These all may strike a question in a consumer mind (black-box)
Model of buying behavior

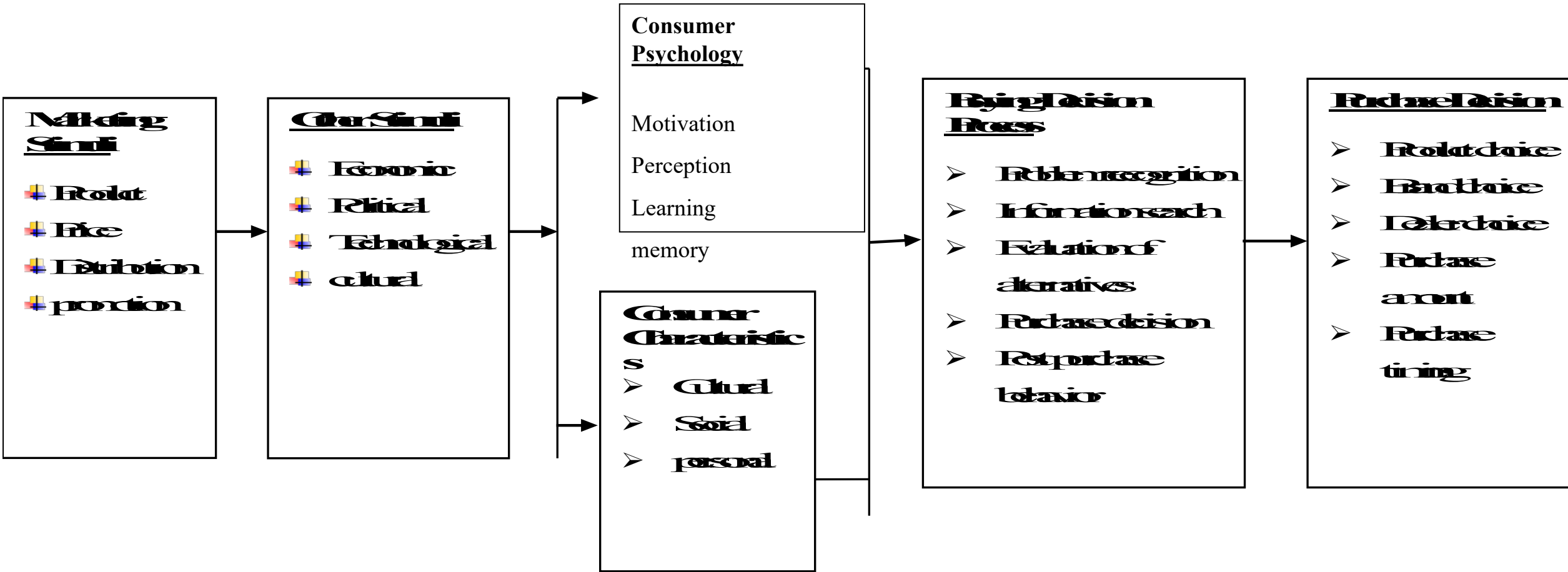


Figure 1.1 Model of consumer behavior

Factors Affecting Consumer Buying Behavior

a) Cultural Factors

- Cultural factors exert the broadest and deepest influence on consumer behavior. The roles played by the buyers culture, subculture, and social class are particularly important.

b) Social Factors

- In addition to cultural factors, a consumer's behavior is influenced by social factors such as reference groups, family, and roles and statuses.

c) Personal Factors A buyer's decisions also are influenced by personal characteristics such as the buyer's age and life-cycle stage, occupation, economic situation, lifestyle, and personality and self-concept.

d) Psychological Factors A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

Types of Buying Decision Behavior

Based on the degree of buyer involvement and the degree of differences among brands there are **four** types of buying decision behavior.

1. Complex Buying Behavior:

- Consumers undertake complex buying behavior when they are **highly involved** in a purchase and **perceive significant differences among brands**.
- Consumers may be highly involved when the product is – **expensive, risky, purchased infrequently, and highly self-expressive**.
- Typically, the consumer has much to learn about the product category.

Marketers of high-involvement products **must understand the information-gathering and evaluation behavior of high- involvement consumers.**

2. Dissonance - Reducing Buying Behavior:

- Dissonance reducing buying behavior occurs when consumers are highly involved with
 - An expensive,
 - Infrequent, or
 - Risky purchase, but see little difference among brands.
- After the purchase consumers might experience post purchase dissonance (after sale discomfort) when they notice certain disadvantages of the brand or heard favorable things about the brand not purchased.

To counter such **dissonance**, the marketer's after sale communications should provide evidence and support to help consumers feel good about their brand choices.

3. Habitual Buying Behavior:

Habitual buying behavior occurs under conditions of low consumer involvement and little significant brand difference.

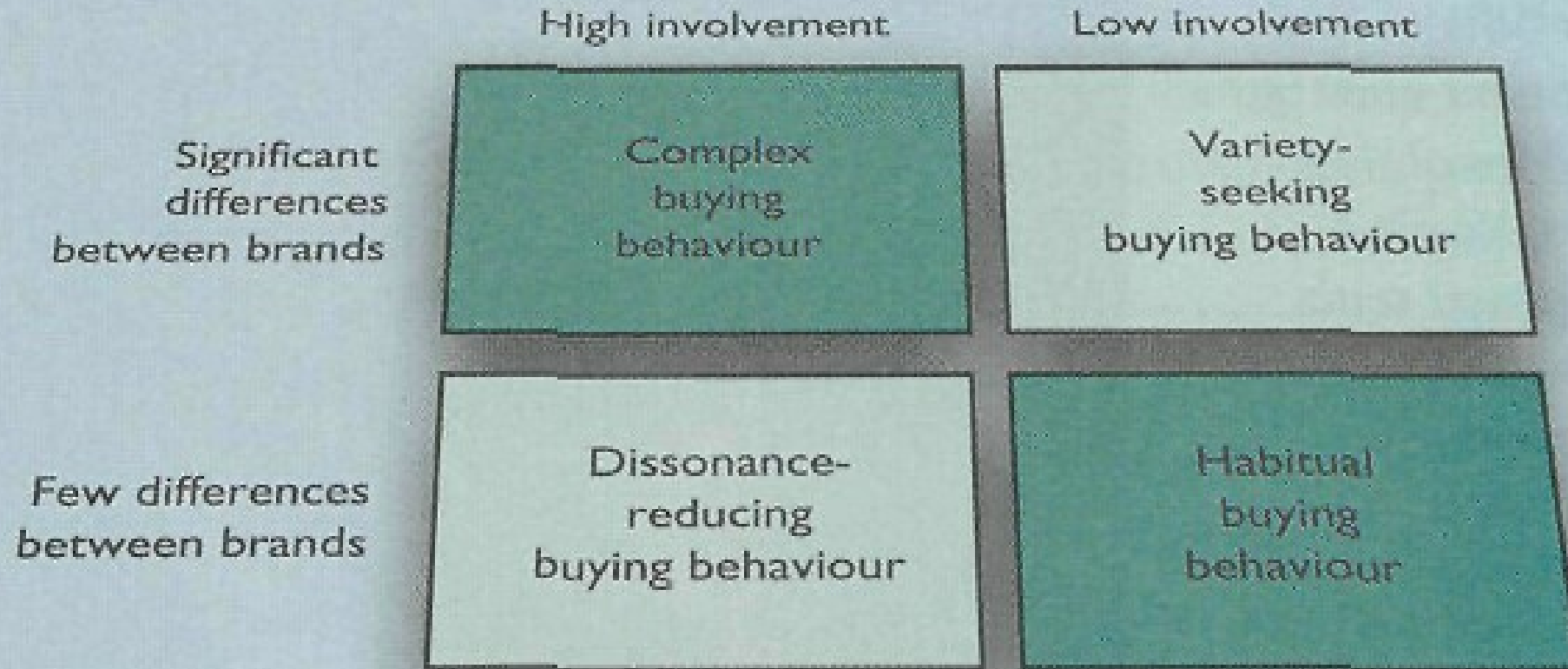
Consumers **do not** search extensively for information about the brands, **do not** evaluate brand characteristics and make weighty decisions about which brands to buy.

- They passively receive information as they watch television or read magazines.
- Because buyers are **not highly committed to any brands**, marketers often use price and sales promotions to stimulate product trial.

4. Variety- Seeking Buying Behavior:

- Consumers undertake variety- seeking buying behavior in situations characterized by **low consumer involvement but significant perceived brand differences**.
- In such cases, consumers often do a lot of brand switching.

Level of buyer involvement



(SOURCE: Adapted from Henry Assael, *Consumer Behaviour and Marketing Action* (Boston, MA: Kent Publishing Company, 1987), p. 87. © Wadsworth Inc. 1987. Reprinted by permission of Kent Publishing Company, a division of Wadsworth Inc.)

The Buyer Decision Process

To reach a buying decision buyers pass through certain stages; and it is called the buyer decision process

1.Need recognition The buying process starts when the buyer recognizes a problem or need. The buyer senses a difference between his or her actual state and a desired state.

By gathering information from a number of consumers, marketers can identify the most frequent stimuli that flash an interest in a product category.

2. Information search The aroused consumer will be inclined to search for more information

Consumer information sources fall into four groups:

- *Personal Source*: Family, friends, neighbors, and acquaintances
- *Commercial source*: Advertising, salespersons, dealers, packaging, displays
- *Public Source*: Mass media
- *Experiential Source*: Handling, examining, using the product

3. Evaluation of alternatives

There is no simple and single evaluation process used by all consumers or by one consumer in all buying situations.

The attributes of interest to buyers vary by product:

- *Cameras*: Picture sharpness camera speeds, camera size, price
- *Hotels*: Location, cleanliness, atmosphere, price
- *Tires*: Safety, tread life, ride quality, price

4. Purchase decision The consumer may also form an intention to buy the most preferred brand.

5. Post purchase behavior After purchasing the product, the consumer will experience some level of satisfaction or dissatisfaction

Marketers must monitor **post purchase satisfaction, post purchase actions, and post purchase product use.**

The Business Market versus the Consumer Market

The business market consists of all the organizations that acquire goods and services used in the production of other products or services that are sold, rented, or supplied to others.

Business markets have several characteristics that contrast sharply with those of consumer markets:

- ***Fewer, larger buyers:*** Even in large business markets, a few buyers often account for most of the purchasing.
- ***Close supplier-customer:***

- ***Professional:*** Often, business buying is done by **trained purchasing agents** who spend their working lives learning how to buy better.
- ***Several buying influences:*** Compared with consumer purchases, a business purchase usually involves **more decision participants**
- ***Derived demand:*** business demand is derived **demand-it ultimately derives from the demand for consumer goods.**

- ***Inelastic demand:*** that is, total demand for many business products is **not** affected much by price changes, especially in the short run.
- ***Fluctuating demand:*** The demand for many business goods and services tends to change more-and more quickly-than the demand for consumer goods and services does.
- ***Geographically concentrated buyers:*** Business markets are also more geographically concentrated.

Buying Situations

- There are **three** types of buying situations:
 - ❖ **Straight rebuy:** The purchasing department reorders on a **routine basis** (e.g., office supplies, bulk chemicals) and **chooses from suppliers on an "approved list."**
 - In a straight re-buy, the buyer reorders something **without any modifications.**
 - ❖ **Modified re-buy:** The buyer wants to **modify product specifications, prices, delivery requirements, or other terms.**

- The modified re-buy usually involves more decision participants than does the straight re-buy.
- ❖ **New task purchase:** A purchaser buys a product or service for the first time (e.g., office building, new security system.
- In such cases, the greater the cost or risk, the larger the number of decision participants and the greater their efforts to collect information will be.

Stages of Business Buying Process

1. Problem Recognition

- The buying process begins when someone in the company recognizes a problem or need that can be met by acquiring a specific product or service.

2. General Need Description and Product Specification

Having recognized a need, the buyer next prepares a general need description that describes the characteristics and quantity of the needed item.

The team decides on the best product characteristics and specifies them accordingly.

3. Supplier Search

- ✓ The buyer now conducts a supplier search to find the best vendors.
- ✓ The buyer can compile a small list of qualified suppliers by reviewing trade directories, doing computer searches, or phoning other companies for recommendations.

4. Proposal Solicitation

In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

5. Supplier Selection

- The members of the buying center now review the proposals and select a supplier or suppliers.

6. Order-Routine Specification

- The buyer now prepares an order-routine specification. It includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected time of delivery, return policies, and warranties.

- In the case of maintenance, repair, and operating items, buyers may use blanket contracts rather than periodic purchase orders.

7. Performance Review

- In this stage, the buyer reviews **supplier performance**, the buyer may contact users and ask them to rate their satisfaction.

Chapter Four

Market Segmentation, Targeting and Positioning

Segmentation

- ✓ Markets consist of buyers, and buyers differ in one or more ways; in their wants, resources, locations, buying attitudes and buying practices.
- ✓ Through market segmentation companies divide large heterogeneous markets into smaller segments that can be reached more efficiently with products and services that match their unique needs.
- ✓ Market segmentation is the process of dividing the total market for a good or service into several smaller, internally homogeneous groups.
- ✓ It is the activity of dividing a market into distinct groups with distinct needs, characteristics, or behavior who might require separate products or marketing mixes.

Requirements for Effective Segmentation

To be useful market segments must be:

- i. Measurable:** The size, purchasing power, and profiles of the segments can be measured.
- ii. Accessible:** The market segments can be effectively reached and served. It must be accessible for the existing market institutions- middle men, advertising media, company sales force with a minimum cost.
- iii. Substantial (Significant):** The market segments are large or profitable enough to serve. A segment should be the largest possible homogenous group worth pursuing with a tailored marketing program.
- iv. Differentiable:** The segments are conceptually distinguishable and respond differently to different marketing mix elements and programs. If married and unmarried women respond similarly to a sale on perfume, they do not constitute separate segments.

v. Actionable (Achievable): Effective programs can be designed for attracting and serving the segments

Bases For-segmenting Consumer Markets

- There is no single way to segment a market. A marketer has to try different segmentation variables, alone and in combination, to find the best way to view the market structure.
- Major variables used in segmenting consumer markets are:

I. Geographic Segmentation

- Is the basis for dividing a market in to different geographical units such as nations, states, regions, counties, cities where people live and work.
- The reason for this is simply that consumers' wants and product usage often are related to one or more of these subcategories.

II. Demographic Segmentation; It divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality.

Demographic factors are the most popular bases for segmenting customer groups.

- ✓ One reason is that consumer needs, wants, and usage rates often vary closely with demographic variables.
- ✓ Another is that demographic variables are easier to measure than most other types of variables.

III. Psychographics Segmentation

- Divides buyers into different groups based on social class, lifestyle, or personality characteristics. People in the same demographic group can have very different psychographic make ups.
- Marketers engaged in psychographic segmentation which involves examining attributes related to how a person thinks, feels and behaves.

IV. Behavioral Segmentation

- Divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product. Many marketers believe that behavior variables are the best starting point for building market segments.

Examples of behavioral segmentation variables can be:

Benefits desired: A powerful form of segmentation is to group buyers according to the different benefits that they seek from the product

User status: Markets can be segmented into groups of non-users, ex-users, potential users, first time users, and regular (actual) users of a product.

Usage rate: Markets can also be segmented into light, medium, and heavy product users.

Category	No. of buyers (market size)	Consumption rate
Heavy product users	10-20%	> 50%
Medium product users	30-40%	25-30%
Light product users	>50%	10-20%

Loyalty Status: Markets can also be segmented by consumer loyalty. Buyers can be divided into groups according to their degree of loyalty- hardcore loyal, split loyal, shift loyal, switchers are types of consumers based on their loyalty.

- i. Hard core loyal:** Remain very loyal to a particular brand-buy always the same brand.
- ii. Split loyal consumers:** Are loyal to two or three brands of a given product. They favor one brand while sometimes buying others.
- iii. Shifting loyal consumers:** Use a given brand for some time and then shift to another after a period of time.
- iv. Switchers:** No loyalty to any brand, they seek new brand every time. They may want something new (different) each time they buy or they buy whatever's on sale.

Buyer's Readiness stage: A market consists of people in different stages of readiness to buy a product. Some are unaware of the product, some are aware, some are interested, and some intend to buy it.

- i. Unaware:** No information about the product, so first design awareness creation advertising packages.
- ii. Aware:** There is no need for awareness advertisements
- iii. Interested:** Aware and also identify the benefits.
- iv. Intend to buy:** Less marketing task is required; slight motivation may lead to purchase decision.

Targeting

- ✓ Market targeting refers to deciding to serve one or more market segments.
- ✓ The firm now must evaluate the various segments and decide how many and which segments it can serve best.

Process of Market Targeting

- The process of market targeting involves the following steps.
 - 1. *Evaluating market segments:*** In evaluating different market segments, a firm must look at three basic factors: segment size and growth, segment structural attractiveness, and company objectives and resources.
 - ✓ **Segment size and growth:** It must first collect and analyze data on current segment sales, growth rates and expected profitability for various segments.
 - ✓ **Segment structural attractiveness:** Market is less attractive if it already contains many strong competitors.

An existence of many actual or potential substitute products and buyers with strong bargaining power also reduces attractiveness of the market. So, it is no worth to prefer these types of markets to other to serve.

✓ **Company objectives and resources:** The market segment to be targeted should also be consistent with firm's long run objectives and resources.

Target Market Selection Strategies: The next activity after evaluating the segments is to decide on which and how many segments to target.

2. Selecting the Market Segments the selection can be

i. Single – Segment Concentration/Concentrated Marketing/

Many companies concentrate on a single segment. Through concentrated marketing, the firm gains a thorough understanding of the segment's needs and achieves a strong market presence.

Example: Satisfying the needs and wants of market 2 with product 2.

	p_1	p_2	p_3
M_1			
M_2			
M_3			

ii. **Selective Specialization/Differentiated Marketing/**

- ✓ Here the firm selects a number of segments, each objectively attractive and appropriate.
- ✓ This multi segment coverage strategy has the advantage of diversifying the firm's risk.

iii. **Product Specialization:** Another approach is to specialize in making a certain product for several segments. An example would be a microscope manufacturer that sells microscopes to university laboratories, government laboratories, and commercial laboratories

- Serving different market segments using the same product ($M_1, M_2, M_3 = P_2$).
- Through a product specialization strategy, the firm builds a strong reputation in the specific product area.
- The downside risk is that the product may be supplanted by an entirely new technology.

iv)Market specialization: Serving the same market segment using different products ($P_1, P_2, P_3=M_3$)

- ✓ With market specialization, the firm concentrates on serving many needs of a particular customer group
- ✓ An example would be a firm that sells an assortment of products only to university laboratories, including microscopes, chemical flasks and others.
- ✓ The firm gains a strong reputation in serving this customer group and becomes a channel for additional products that the customer group can use.
- ✓ However, the downside risk is that the customer group may suffer budget cuts or shrink in size.

v) Full Market Coverage/Mass Marketing/Undifferentiated Marketing

- Here a firm attempts to serve all customer groups with all of the products they might need. By adopting a mass marketing strategy, seller treats its total market as a single segment
- The strategy is more workable for firms that are marketing undifferentiated staple products. (E.g. Salt, Sugar, Gasoline).

vi) Micro Marketing: Micromarketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations. Micromarketing includes local marketing and individual marketing.

- Local marketing: involves tailoring brands and promotions to the needs and wants of local customer groups – cities, neighborhoods and even specific stores.
- Individual marketing: In the extreme, micromarketing becomes individual marketing – tailoring products and marketing programs to the needs and preferences of individual customers.

3. Choosing a Market – Coverage Strategy Many factors need to be considered when choosing a market coverage strategy. Which strategy is best depending on:

- i. Company resources*
- ii. The degree of product variability*
- iii. The products life-cycle stage*
- iv. Market variability*
- v. Competitor's marketing strategies*

Positioning

- Positioning is the act of designing the company's offering and image so that they occupy a meaningful and distinct competitive position in the target customer's mind.

- ✓ A product's position is the way the product is defined by consumers on important attributes – the place the product occupies in consumers' minds relative to competing products.
- ✓ A competitive advantage is the strength of a company, while a product's position is a prospect's perception of a product.
- ✓ Positioning is not what you do to a product but what you do to the mind of the prospect.
- ✓ A product's position is the complex set of perceptions, impressions and feelings that consumers hold for the product compared with competing products.

Positioning Strategies

- Marketers can follow several positioning strategies. They can position their products on specific product attributes such as low price, performance, benefits, usage occasions, against a competitor and combination of many attribute.

- Each firm must differentiate its offer by building a unique bundle of competitive advantages that appeal to a substantial group within the segment. The positioning task consists of three steps.
 1. Identifying a set of possible competitive advantages on which to build a position.
 2. Selecting the right competitive advantages
 3. Effectively communicating and delivering the chosen position to the market.

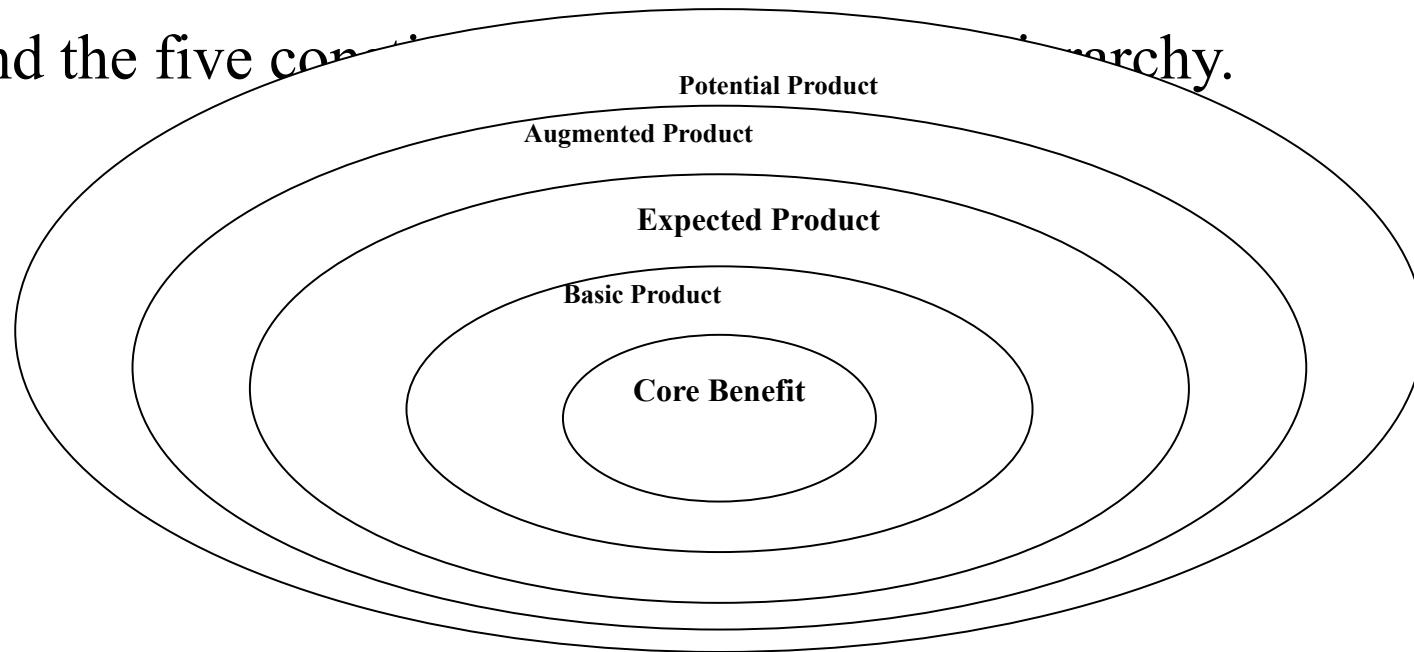
CHAPTER 5 - MANAGING MARKETING MIX ELEMENTS

1. PRODUCT

A product is anything that can be offered to a market to satisfy a want or need. Products include physical goods, services, experiences, events, persons, places, properties, organizations, information, and ideas.

Product Levels (the Customer Value Hierarchy)

In planning market offering, marketers need to address five product levels. Each level adds more customer value, and the five components form a hierarchy.



1. **Core benefit:** the service or benefit the customer is really buying. A hotel guest is buying "rest and sleep"

- When designing products, marketers must first define the core, problem solving benefits or services that consumers seek.

2. **Actual product** the means that deliver the core benefit to the customer. Thus, a hotel room includes a bed, bathroom, towels, desk, dresser, and closet.

3. **Expected product** a set of attributes and conditions buyers normally expect when they purchase a product. Hotel guests expect a clean bed, fresh towels, and so on.

4. **Augmented product** is additional product feature and support service that exceed customers' expectation. A hotel can augment its product by including a television set, fresh flowers, rapid check-in, express checkout, fine dining and room service, and so on.

- ✓ The new competition is not between what companies produce in their factories, but between what they add to their factory output in the form of services, advertising, customer advice, financing, delivery arrangements, warehousing, and other things that people value.

5. **Potential product** encompasses all the possible augmentations/ transformations the product or offering might undergo in the future. Here is where companies search aggressively for new ways to satisfy customers and distinguish their offer.

Product Classifications

Marketers have traditionally classified products on the basis of characteristics: **durability, tangibility, and intended use(consumer or industrial use)**. Each product type has an appropriate marketing-mix strategy.

I) Durability and Tangibility

- Products can be classified into three groups, according to their durability and tangibility:
 1. **Nondurable goods:** are tangible goods that are normally consumed in one or a few uses (such as beer and soap). Because these goods are consumed quickly and purchased frequently, the appropriate strategy is to make them available in many locations, charge only a small markup, and advertise heavily to induce trial and build preference.
 2. **Durable goods:** are tangible goods that normally survive many uses (such as refrigerators). These products normally require more personal selling and service, command a higher margin, and require more seller guarantees.

3. Services: are intangible, inseparable, variable, and perishable products (such as haircuts and repairs), so they normally require more quality control, supplier credibility, and adaptability.

II) Consumer-goods classification

These goods can be classified on the basis of consumer shopping habits. We can distinguish among convenience, shopping, specialty, and unsought goods.

1. Convenience goods: convenience goods are goods that the customer usually purchases frequently, immediately, and with a minimum of effort.

✓ Examples include soaps, and newspapers. Convenience goods can be further divided into staples, impulse goods, and emergency goods.

2. Shopping goods: are less frequently purchased that customer compare carefully on suitability, quality, price, and style.

✓ When buying shopping products and services, consumers spend much time and effort in gathering information and making comparisons.

✓ Examples include furniture, clothing, used cars, major appliances, and hotel and airline services.

3. Specialty goods: are goods with unique characteristics and/or brand identification for which a significant group of buyers are habitually willing to make a special purchasing effort.

Examples include specific brands and types of cars, high-priced photographic equipment, Rolex watches and the services of medical or legal specialists.

4. Unsought goods: are consumer products that the consumer either does not know about or knows about but does not normally think of buying.

✓ By their very nature, unsought products require a lot of advertising, personal selling, and other marketing efforts.

✓ Classic examples of known but unsought products and services are life insurance and blood donations to the Red Cross.

III) Industrial-Goods Classification

- Industrial products are those purchased for further processing or for use in conducting a business.
- The three groups of industrial products and services include materials and parts, capital items, and supplies and services.

1. Materials and parts: include raw materials and manufactured materials and parts.

- Raw materials consist of farm products (wheat, cotton, livestock, fruits, vegetables and the like) and natural products (fish, crude petroleum, iron ore and the like).
- Manufactured materials and parts consist of component materials (iron, yarn, cement, wires and the like) and component parts (small motors, tires, castings and the like).
- Most manufactured materials and parts are sold directly to industrial users. Price and service are the major marketing factors; branding and advertising tend to be less important.

2. Capital items: are industrial products that aid in the buyer's production or operations, including installations and accessory equipment.

Installations consist of major purchases such as **buildings** (factories, offices) and **fixed equipment** (generators, large computer systems, elevators).

Accessory equipment includes **portable factory equipment and tools** (hand tools, lift trucks) and **office equipment** (computers, fax machines, desks). They have a shorter life than installations and simply aid in the production process.

3.Supplies and services: Supplies include operating supplies (lubricants, coal, paper, pencils) and repair and maintenance items (paint, nails).

- Supplies are the convenience products of the industrial field because they are usually purchased with a minimum of effort or comparison.
- Business services include **maintenance and repair services** (window cleaning, computer repair) and **business advisory services** (legal, management consulting, advertising and the like). Such services are usually supplied under contract.

Branding, Packaging, and Labeling

- A **Brand** is a name, design or symbol (or combination of these) that uniquely identifies the product and service of one seller or a group of sellers and differentiate them from those of competitors. Brands may include the following elements: Brand name, Logo, Symbol, Character, Slogan, Jingle, Package.
- Branding helps buyers in many ways. Brand names help consumers identify products that might benefit them.
- Branding also gives the seller several advantages. The brand name becomes the basis on which a whole story can be built around a product's special qualities.
- The seller's brand name and trademark provide legal protection for unique product features that otherwise might be copied by competitors.
- ✓ Take a brand of Debre tabor University and identify and discuss its elements

Packaging is related with all the activities of designing and producing the container or wrapper for a product. There are three major reasons for packaging **Self-service, Consumer affluence and Company and brand image**

✓Packaging might include up to three levels of material.

Old Spice aftershave lotion is in a bottle (primary package) that is in a cardboard box (secondary package) that is in a corrugated box (shipping package) containing six dozen boxes of Old Spice.

Label: the label may be a simple tag attached to the product or an elaborately designed graphic that is part of the package. The label can be **Brand label, Grade label and/Descriptive labels.**

- Labeling is subset of packaging

- Labels perform several functions.

- ✓First, the label identifies the product or brand.

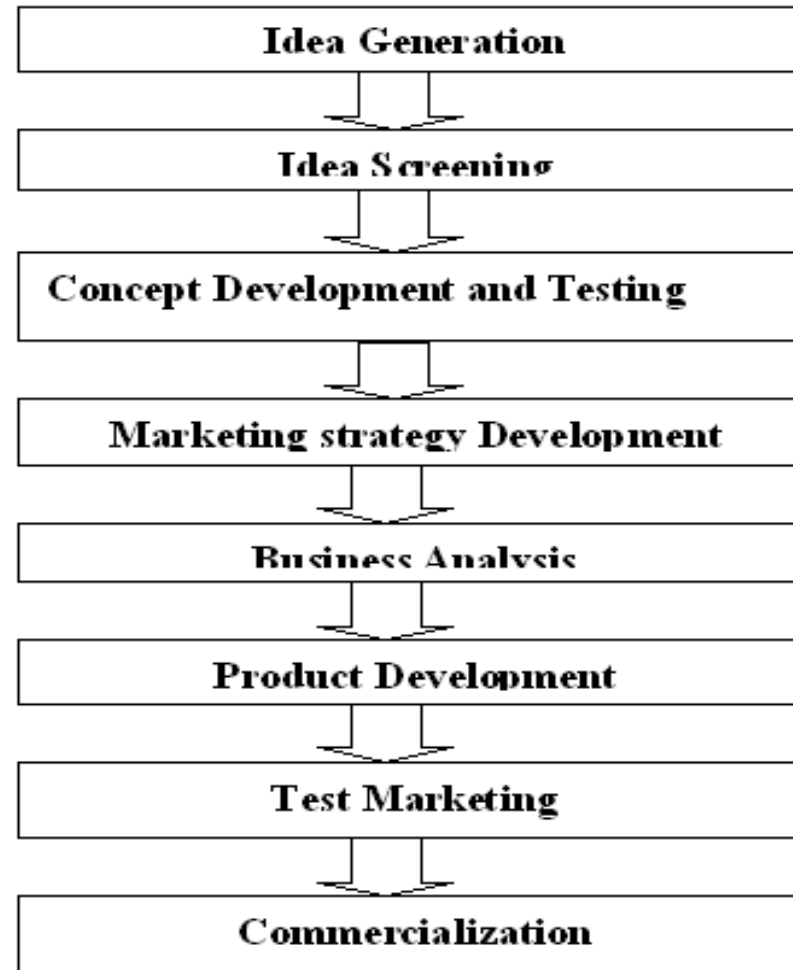
- ✓The label might also grade the product.

- ✓The label might describe the product: who made it, where it was made, when it was made, what it contains, how it is to be used, and how to use it safely.

- ✓Finally, the label might promote the product through its attractive graphics.

New Product Development (reading assignment)

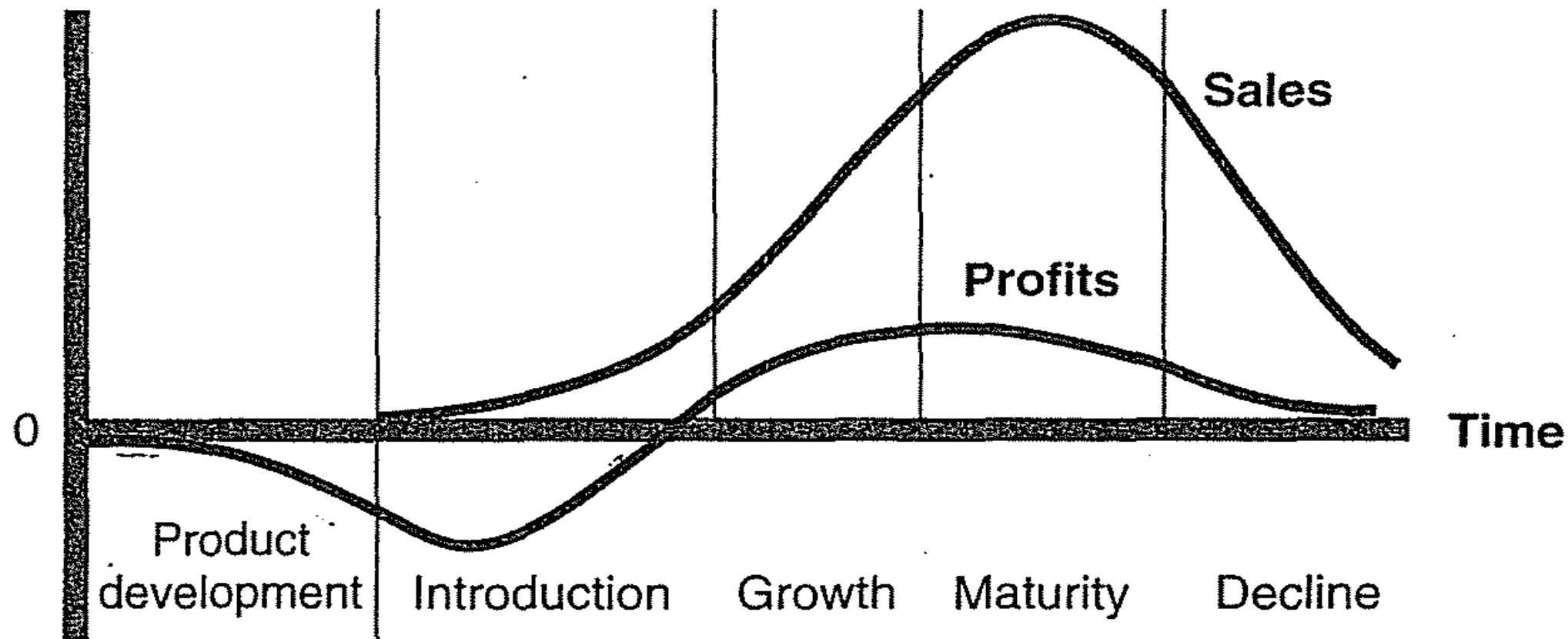
- By new products we mean developing original products, making product improvements, product modifications, and new brands that the firm develops through its own research and development efforts. New product development passes through the following steps.



Product Life Cycle

- ❖ Products like any other living things undergo life cycle. The concept of product life cycle PLC suggests that any product or service move through identifiable stages for which different strategies need to be developed and implemented.
- ❖ Like people, products are born; they grow up (well, most people grow up anyway) and eventually they die
- ❖ Factors which affect the length of product life cycle include
 - ✓ customer preferences
 - ✓ seasons
 - ✓ technological changes
 - ✓ competition, and
 - ✓ the rate of acceptance of consumers for new ideas.
- ❖ The product lifecycle has five distinct stages: product development, introduction, growth, maturity, and decline.

Sales and
profits (\$)



Losses/
investment (\$)

1.Product development: begins when the company finds and develops a new-product idea.

- During product development, sales are zero and the company's investment costs mount.

2.Introduction stage: The introduction stage starts when the new product is first launched. Introduction takes time, and sales growth is apt to be slow.

- In this stage, as compared to other stages, profits are negative or low because of the low sales and high distribution and promotion expenses.

3. Growth stage: At this stage, sales will start climbing quickly.

- Attracted by the opportunities for profit, new competitors will enter the market. They will introduce new product features, improve on the pioneer's product and expand the market for the product.
- The increase in competitors leads to an increase in the number of distribution outlets, and sales jump just to build reseller inventories.

❖ Profits increase during the growth stage, The firm enters in to new market segments and tries to grow sales further by selling through new distribution channels.

4. Maturity stage: At some point, a product's sales growth will slow down and the product will enter a maturity stage.

- ✓ Competitors begin to cut prices, increase their advertising and sales promotions, and raise their R&D budgets to find better versions of the product. These steps lead to a drop in profit.
- ✓ Some of the weaker competitors start dropping out of the industry, and the industry eventually contains only well-established competitors.
- ✓ Product managers should stretch their imagination and look for new ways to innovate in the market (market development), or to modify the product (product development) and the marketing mix modification (marketing innovation).

5. Decline stage: The period when sales show a downward drift and profits erode.

- ❑ Sales may plunge to **zero**, or they may drop to a low level where they continue for many years. Sales decline for many reasons, including technological advances, shifts in consumer tastes and increased competition.
- ❑ As sales and profits decline, some firms withdraw from the market.
- ❑ The firm should identify those products in the decline stage by regularly reviewing sales, market shares, costs and profit trends.
- ❑ Management may decide to maintain its brand without change, to harvest the product, Or management may decide to drop the product from the line.
- ❑ It can sell it to another firm or simply liquidate it at salvage value.

2. Pricing Products

What is price? How we set prices? What factors should be taken in to account while setting prices?

- ✓ Price is the amount of money charged for a product or service or the sum of the values that consumers exchange for the benefits of having or using the product or service.
- ✓ It Is what we pay for what we get.
- ✓ *price is the only element in the marketing mix that produces revenue; all other elements represent costs.*
- ✓ *Price is also one of the most flexible of elements of the marketing mix.*

Factors to Consider When Setting Prices

1. Internal Factors Affecting Pricing Decision

I. Marketing Objectives: marketing objectives include survival, current profit maximization, market share leadership, and product quality leadership.

II. Costs: are the amount of money incurred to develop, produce, promote and deliver a product to the target market.

Costs set the floor for the price that the company can charge for its product.

2. External Factors Affecting Pricing Decisions

- External factors that affect pricing decisions include the
 - **nature of the market and demand** :In pricing a company must estimate the total demand for the product.
 - **Competition**; Competition greatly influences base price.
 - **other environmental elements.**

General Pricing Approaches

Product costs set a floor to the price; consumer perceptions of the product's value set the ceiling.

There are three major pricing approaches: the *cost-based approach* (cost-plus pricing, break-even analysis, and target profit pricing); the *buyer based approach* (value-based pricing); and the *competition-based approach* (going-rate and sealed-bid pricing).

I) Cost Based Approach

- **Cost plus (Mark up) pricing:** The simplest pricing method is cost-plus pricing-adding a standard markup to the cost of the product.
- To illustrate markup pricing, suppose a toaster manufacturer had the following costs and expected sales:

Variable cost = \$10

Fixed costs = \$300,000

Expected unit sales = 50,000

The manufacturer's unit cost is given by:

$$\begin{aligned}\text{Unit cost} &= \text{Variable cost} + \frac{\text{Fixed cost}}{\text{Unit sales}} \\ &= 10 + \frac{300,000}{50,000} = \$16\end{aligned}$$

- Now assume the manufacturer wants to earn a 20% markup on sales. The manufacturer's markup price is given by:

$$\begin{aligned}\text{Markup price} &= \frac{\text{unit cost}}{(1 - \text{desired return on sales})} = \frac{\$16}{1 - 0.2} = \underline{\underline{\$20}}\end{aligned}$$

The manufacturer would charge dealers \$20 per toaster and make a profit of \$4 per unit.

Does using standard markup to set prices make sense? Generally no, any pricing method that ignores demand and competitor prices is not likely to lead to the best price.

Target-return pricing: In target-return pricing, the firm determines the price that would yield its target rate of return on investment (ROI). Suppose the toaster manufacturer in the previous example has invested \$1 million and wants to earn a 20 percent return on its invested capital. The target-return price is given by the following formula:

- Target-return price= Unit cost + $\frac{\text{desired return} \times \text{invested capital}}{\text{Unit sales}}$

$$\begin{aligned} &= 16 + \frac{0.20 \times 1,000,000}{50,000} \\ &= \underline{\underline{\$20}} \end{aligned}$$

- The manufacturer will realize this 20 % ROI provided its costs and estimated sales turn out to be accurate. But what if sales do not reach 50,000 units? The manufacturer can prepare a break-even chart to learn what would happen at other sales levels.

Break-Even Analysis:

A break-even point is that quantity of output at which total revenue equals total costs, assuming a certain selling price.

- The breakeven point can be found with this formula:

- Break-even point in units $= \frac{\text{Total fixed costs (TFC)}}{\text{Unit contribution to overhead}}$
 $= \frac{\text{TFC}}{(\text{Selling price} - \text{Average variable cost})}$

✓ Returning to our example, fixed costs are \$300,000 selling price is found to be \$20

✓ Accordingly,

$$\text{BEP (Volume)} = \frac{\$300,000}{\$20 - \$10} = 30,000 \text{ units}$$

✓ If sales exceed 30,000 units results in a profit on each additional unit.

II) Value Based Approach

A. Perceived-value pricing: An increasing number of companies base price on customers' perceived value.

They see the buyers' perceptions of value, not the seller's cost, as the key to pricing.

Then they use the other marketing-mix elements, such as advertising, to build up perceived value in buyers' minds.

B. Value pricing: Value pricing is a method in which the company charges a fairly low price for a high-quality offering. Value pricing says that the price should represent a high-value offer to consumers.

An important type of value pricing is everyday low pricing (EDLP), which takes place at the retail level.

III) Competition Based Approach

A. Going-rate pricing: In going-rate pricing, the firm bases its price largely on competitors' prices. The firm might charge the same, more, or less than its major competitor(s) charges.

B. Sealed-Bid Pricing: Competitive-oriented pricing is common when firms submit sealed bids for jobs. In bidding, each firm bases its price on expectations of how competitors will price rather than on a rigid relationship to the firm's own costs or demand.

Q. Discuss how each approaches differ one another and can be used to set prices

Pricing Strategies

- Pricing decisions are subject to an incredibly complex array of environmental and competitive forces. A company sets not a single price
- As the competitive environment changes, the company considers when to initiate price changes and when to respond to them.

I) New-Product Pricing Strategies

Companies bringing out a new product face the challenge of setting prices for the first time. They can choose between two broad strategies to price their new products: ***market-skimming pricing*** and ***market penetration pricing***.

1. Market-skimming pricing

- Many companies that invent new products set high initial prices to "skim" revenues layer by layer from the market.

2. Market-penetration pricing

- Rather than setting a high initial price to skim off small but profitable market segments, some companies use market-penetration pricing.
- They set a low initial price in order to penetrate the market quickly and deeply-to attract a large number of buyers quickly and win a large market share.

II) Product Mix Pricing Strategies

The strategy for setting a product's price often has to be changed when the product is part of a product mix.

- There are five product mix pricing situations; **Product Line Pricing, Captive-Product Pricing, By-Product Pricing, Product Bundle Pricing and Price-Adjustment Strategies**

1. Product line pricing

- Companies usually develop product lines rather than single products. In product line pricing, management must decide on the price steps to set between the various products in a line.
- The price steps should take into account cost differences between the products in the line, customer evaluations of their different features, and competitors' prices.

2. Captive-product pricing

- ✓ Companies that make products that must be used along with a main product are using captive product pricing. Examples of captive products are razor blade cartridges, camera film and printer cartridges.
- ✓ Producers of the main products (razors, cameras and printers) often price them low and set high markups on the supplies used along with a main product are using captive-product pricing.
- ✓ In the case of services, this strategy is called two-part pricing. The price of the service is broken into a fixed fee plus a variable usage rate.

3. By-product pricing

- In producing processed meats, petroleum, chemicals, and other products, there are often by-products. If the by-products have no value and if getting rid of them is costly, this will affect the pricing of the main product.

4. Product bundle pricing

- Using product bundle pricing, sellers often combine several of their products and offer the bundle at a reduced price. For example, fast-food restaurants bundle a burger, fries, and a soft drink at a combo price.

III) Price Adjustment Strategies

- Companies usually adjust their basic prices to account for various customer differences and changing situations.

Here we examine the seven price-adjustment strategies: discount and allowance pricing, segmented pricing, psychological pricing, promotional pricing, geographical pricing, dynamic pricing, and international pricing.

- a. Discount and allowance pricing** Most companies adjust their basic prices to reward customers for certain responses, such as early payment of bills, volume purchases, and off-season buying.
- These price adjustments called discounts and allowances-can take many forms.
 - The many forms of discounts include a cash discount, a price reduction to buyers who pay their bills promptly. A typical example is "2/10, net 30," which means that although payment is due within 30 days, the buyer can deduct 2 percent if the bill is paid within 10 days.
 - A quantity discount is a price reduction to buyers who buy large volumes.
 - A functional discount (also called a trade discount) is offered by the seller to trade channel members who perform certain functions, such as selling, storing, and record keeping.
 - Allowances are another type of reduction from the list price :Trade-in allowances and Promotional allowances

b. Segmented /Discriminatory/ Pricing

✓ Companies will often adjust their basic prices to allow for differences in customers, products, and locations. In segmented pricing, the company sells a product or service at two or more prices, even though the difference in prices is not based on differences in costs.

c. Psychological pricing Price says something about the product. For example, many consumers use price to judge quality. A \$100 bottle of perfume may contain only \$3 worth of scent, but some people are willing to pay the \$100 because this price indicates something special.

- In using psychological pricing, sellers consider the psychology of prices and not simply the economics.

d. Promotional pricing With promotional pricing, companies will temporarily price their products below list price and sometimes even below cost to create buying excitement and urgency.

e. Geographical pricing

- A company also must decide how to price its products for customers located in different parts of the country or world.

Read five geographical pricing strategies:

f. Dynamic pricing Throughout most of history, prices were set by negotiation between buyers and sellers.

g. International pricing Companies that market their products internationally must decide what prices to charge in the different countries in which they operate.

Q. Discuss how and when each pricing strategies can be used by sellers?

3. Distribution Channel

Marketing or distribution channel refers to the activities, parties and channel structures involved to transfer the product from its point of production to its point of consumption.

It indicates set of interdependent organizations involved in the process of making the product available for use or consumption by the consumer or industrial user

Marketing channel functions

- Members of the marketing channel perform many key functions: information, promotion, matching, negotiation, physical distribution, financing and risk taking
- Information: Gathering and distributing marketing research and intelligence information about actors and forces in the marketing environment needed for planning and facilitating exchange.

- Promotion: Developing and spreading persuasive communications about an offer.
- Contact: Finding and communicating with prospective buyers.
- Matching: Shaping and fitting the offer to the buyer's needs, including such activities as manufacturing, grading, assembling and packaging.
- Negotiation: Reaching an agreement on price and other terms of the offer, so that ownership or possession can be transferred.
- Physical distribution: Transporting and storing goods.
- Financing: acquire and using funds to cover the costs of the channel work.
- Risk taking: Assuming the risks of carrying out the channel work.

Channel structure and levels

Channel structure refers all organizations involved through which a product passes between its point of production and point of consumption.

Marketing channels can broadly classified into two.

Direct channel is a channel used when a manufacturer prefers to sell its products directly to the final user or consumer without the use of intermediaries.

Indirect channel is a situation where the manufacturer uses intermediaries to sell its products.

Intensity of distribution

Intensity of distribution indicates the number of intermediaries used at each channel level.

Intensity of distribution can be categorized as

➤ **Exclusive distribution:** The distributor gives only a limited number of dealers the exclusive right to distribute the product in their sales territories.

It is used when the manufacturer wants to exercise high degree of control over channel members and for technical products. This strategy can better used for convenience products.

➤ **Intensive distribution:** a producer may want to make its products available every where. To make this effective the producer must use as many intermediaries as possible. Therefore, intensive distribution allows the manufacturer to sell its products to any intermediary that is willing to carry out the product.

➤ **Selective distribution:** this strategy lies in between the two extreme distribution strategies. Under this strategy the producer uses more than one but as few as all of the intermediaries that are willing to carry out the company's product.

Factors affecting channel choice/Selecting Channels of Distribution

Companies select distribution channel on the basis of the following factors

- Customer characteristics
- Product characteristics
- Competitor characteristics
- Company characteristics
- Environmental characteristics
- Distribution Coverage Required
- Degree of control
- Total distribution cost
- Channel flexibility

The nature of the market should be the key factor in management's choice of channels. Other considerations are the product, the intermediary, and the company itself.

- 1. Market Considerations: Type of market, Number of potential customers, Geographic concentration of the market, Order size...**
- 2. Product Considerations:** While there are numerous product- related factors to consider, we will high light the following three. **Unit value, Perishability,**
- 3. Technical nature of a product: Services provided by intermediaries, Availability of desired intermediary**
- 4. Company Considerations:** Before choosing a distribution channel for a product, a company should consider its own situation. **Desire for channel control, Service provided by seller, Ability of management, Financial resources.**

4. PROMOTION

☛ What is Promotion? Why promotion?

- A company's total marketing communications mix also called its promotion mix consists of the specific blend of **advertising, personal selling, sales promotion, and public relations** tools that the company uses to pursue its marketing objectives.

1. Advertising: Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor. It can be **Informative advertising, Persuasive advertising, Comparison advertising and Reminder advertising**. Since advertisement is a paid form of non-personal presentation **advertisement budget must be determined**

Advertising may be: Informative advertising, Persuasive advertising and/or Reminder advertising:

2. Sales promotion: Sales promotion consists of short-term incentives to encourage the purchase or sale of a product or service. Whereas advertising and personal selling offer reasons to buy a product or service, sales promotion offers reasons to buy *now*.

Many tools can be used to accomplish sales promotion objectives. Descriptions of the main-consumer, trade, and business promotion tools follow.

Consumer promotion tools

- The main consumer promotion tools include samples, coupons, cash refunds, price packs, premium, advertising specialties, patronage rewards, point-of-purchase displays and demonstrations, and contests, sweepstakes, and games.

3. Public Relations: Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

- Companies use public relations to build good relationships with consumers, investors, the media and their communities.

4. Personal selling: The direct presentation of a product to a prospective customer by a representative of the selling organization is termed as personal selling. Personal selling is the personal communication of information to persuade somebody to buy something.

- Personal selling is one of the oldest professions in the world. The people who do the selling go by many names: salespeople, sales representatives, district managers, account executives, sales consultants, sales engineers, agents, and account development reps to name just a few.

- Personal selling is the interpersonal arm of the promotion mix.
- Advertising consists largely of one-way, non personal communication with target consumer groups.
- In contrast, personal selling involves two-way, personal communication between salespeople and individual customers whether face to face, by telephone, through video or Web conferences, or by other means.

END!!!!!!!